THE QUESTIONS YOU SHOULD BE ASKING.

Twenty questions a careful investor asks, answered with the same audited numbers as the memorandum. Nothing here is spin — where an answer has a weakness, it is stated. Several answers changed materially from the previous edition because the build changed; those changes are called out rather than quietly absorbed.

[SECTION 01 · MARKET & RATES]

Q01 / WHAT IF B200 RENTAL RATES FALL FASTER THAN YOUR 10%/YEAR ASSUMPTION?

Then returns compress along a curve you can inspect in the model workbook — it is a live lever, not a footnote. The protection is entry price, not the decay slope: all-in build cost is $70,386 per installed GPU against modeled Year-1 revenue of $39,748 per rentable GPU. Historical context: H100 rates fell roughly 35% over two years while operators who bought early still cleared strong margins. The structural exposure here is different from the all-equity version of this project — debt service is fixed while revenue decays, so rate risk shows up in DSCR before it shows up in distributions. See Q13 and Q20.

Q02 / WHY WOULD A TENANT PAY $4.50/HR WHEN AGGREGATORS LIST B200 AT $3.50?

Different products. Sub-$4 listings are shared-infrastructure, on-demand capacity — preemptible in practice, variable in performance, no dedicated fabric, and sold by hosts whose reliability varies widely. Reserved capacity here is dedicated B200s on a private NDR InfiniBand fabric, guaranteed 24/7 for a year, with a named engineer. The comparable products — reserved dedicated capacity at Lambda or CoreWeave-class providers — were verified in July 2026 at $4.50–$5.50. We are at the low end of the right comparison, not the high end of the wrong one.

Q03 / WHAT HAPPENS WHEN B300 AND NEXT-GEN CHIPS SHIP?

B200 shifts down-market and keeps earning — the same pattern as every NVIDIA generation. V100s from 2017 still rent today. The model already prices this: the revenue line declines 10% every year for five years. Note this version is *more* conservative than the earlier draft — it assumes **zero** residual hardware value at Year 5, where the previous memorandum assumed $450K. The upside version: Phase 1B and Phase 2 deploy then-current silicon on infrastructure this raise already paid for — power, fiber, cooling design, and channel relationships carry over at zero marginal cost.

Q04 / CAN'T A HYPERSCALER JUST CRUSH YOU ON PRICE?

They are going the other way. AWS lists B200 at $14.24/GPU-hour because its cost structure — metro land, retail power, enterprise sales — requires it. The threat is not hyperscalers; it is other small operators with cheap power, and the marketplaces that aggregate them. Our defense is that the cost stack is mostly owned: land at $0, power at ~$0.08/kWh, batteries at manufacturer cost, fiber locked for 60 months. A competitor must buy at retail what we already hold at cost.

Q05 / WHERE DOES DEMAND ACTUALLY COME FROM? BE SPECIFIC.

Five audited channels, in priority order: Vast.ai data-center certification (buyers pay ~$7.12/GPU-hr on-demand, verified July 2026); SF Compute exchange for committed blocks; Shadeform aggregator listing; GPUaaS.com wholesale broking at a verified $4.00–$4.68 buyer band; and whole-cluster master lease with FluidStack, Voltage Park, Crusoe or GMI. Buyer-side rates in every one of those channels are verified against published sources. What is **not** verified is the payout share to us — Vast's ~75–80% figure is platform guidance, not a contract, and is confirmed only at onboarding.

[SECTION 02 · DEMAND & CONTRACTS]

Q06 / SO THE 48 RESERVED GPUS ARE NOT YET CONTRACTED?

Correct, and this is the most important disclosure in the document. No platform guarantees a new 64-GPU supplier a payout rate. The $4.50 reserved assumption is defensible — it sits at the low end of the verified $4.50–$5.50 reserved-contract band — but it is a target, not a signature. This is a real change from the earlier version of this project, which was built around six named anchor tenants covering 100% of a much smaller cluster. That structure does not survive a build twice the size, and we would rather say so than carry forward a claim the arithmetic no longer supports. Price the probability of landing the rate; do not assume it.

Q07 / WHAT HAPPENS IF A CHANNEL OR A TENANT DEFAULTS MID-YEAR?

Diversification is the answer that replaced tenant concentration. Revenue spreads across five channels rather than six named tenants, so no single counterparty carries the year. Reserved capacity bills quarterly in advance, freed capacity relists on marketplace aggregators within days, and the 4 spare GPUs sit outside every contract as a failure buffer. Contracts will include standard acceleration and setoff clauses, final form with counsel.

Q08 / WHY WOULD ANYONE RENEW IN YEAR 2 INSTEAD OF CHASING NEWER CHIPS?

They might not — which is why Year-2 revenue is modeled 10% lower and payback is evaluated over hardware life, not one renewal cycle. What favors renewal: migration cost (moving a production workload is weeks of engineering), the dedicated-fabric performance a tenant has tuned for, and pricing room — cash operating cost is $1.22/GPU-hr, so we can meet the market well below today's rate and stay cash-positive on operations.

[SECTION 03 · OPERATIONS]

Q09 / A SERVER DIES AT 2 AM. WHAT ACTUALLY HAPPENS?

64 physical GPUs back 60 rentable — 4 spares live outside all contracts, so a single-GPU failure is a re-map, not an SLA breach. A full-server failure (8 GPUs) degrades capacity until repair; Supermicro next-business-day support is in the operating budget, and tenant SLAs will carry service credits sized to that window. Three staffed HPC engineers ($360,000 budgeted, up from two in the earlier plan) carry the pager, and AURA monitoring is a funded $40,000 line in CAPEX.

Q10 / OKLAHOMA SUMMERS HIT 105°F. CAN ONE RETROFITTED BUILDING REALLY COOL THIS?

Here is the honest position rather than the comfortable one. Installed cooling is 45 tons across three 15-ton CRAC units with hot-aisle containment, against a 114.4 kW IT load — adequate with all three running. **With one unit failed, capacity drops to 30 tons (~105.5 kW), which is below the load.** True N+1 requires a fourth 15-ton unit (roughly +$18K) or a move to 3×20-ton. This is a known open item, it is priced, and it is resolved before the equipment order alongside a licensed PE review of the power and cooling design. The z1Power battery bank separately rides through utility sags without dropping load.

Q11 / WHAT IF THE GRID GOES DOWN — OR DOBSON'S FIBER GETS CUT?

Power: z1Power LFP plus 2× Eaton 93PR UPS carries the IT load through outages long enough for orderly workload checkpointing; extended-outage generator backup is a later-phase add and is disclosed as such. Note the UPS is currently specified at 100 kW N+1, drawn for an earlier smaller build, and is being re-sized against the 114.4 kW load — same Gate-0 discipline as the cooling item. Fiber: single-carrier is a real Year-1 limitation; mitigations are Dobson's enterprise SLA, wireless failover for management traffic, and a second carrier in a later phase. Tenant SLAs will exclude carrier-side outages, as is standard.

Q12 / THREE ENGINEERS FOR A $4,504,711 CLUSTER — IS THAT ENOUGH?

It is lean but defensible, and it moved deliberately. The earlier plan budgeted two engineers for a 30-GPU fleet; doubling the build to 64 GPUs across 8 servers raised it to three at $120K each — $360,000, at genuine Oklahoma market rates rather than an optimistic number. Sixty rentable GPUs is still a small fleet by HPC standards. The founder adds operating capacity at no salary load, and monitoring and orchestration software is funded separately in CAPEX.

[SECTION 04 · STRUCTURE & YOUR MONEY]

Q13 / WHAT EXACTLY AM I BUYING — AND WHAT DOES THE DEBT MEAN FOR ME?

The base case funds $4,504,711 with roughly 80% senior equipment debt ($3,603,769 at 8.5%) and 20% equity ($900,942). You would be buying a pro-rata share of the equity and its quarterly distributions. Understand what leverage does in both directions: it is what produces the equity returns in the memorandum, and it is also why a rate shortfall bites harder here than in the earlier all-equity structure — debt service is fixed while revenue decays. DSCR is 2.60× on a 7-year term and 2.00× if the lender writes 5-year paper. **No term sheet has been signed.** The binding structure is finalized with securities counsel before any commitment.

Q14 / WHEN AND HOW DO I GET PAID?

Quarterly cash distributions from levered free cash flow, first distribution after the first full revenue quarter — roughly month 7–8 from close, given the ~120-day build. Quarterly reporting includes utilization, revenue by channel, DSCR, and cash position. Distributions are subordinate to debt service; in any quarter where coverage tightens, the lender is paid first. That is the ordinary consequence of the capital structure and you should model it.

Q15 / HOW DO I EVER EXIT AN ILLIQUID SINGLE-SITE PROJECT?

Honestly: this is a hold-to-cash-flow investment, not a flip. Realistic liquidity paths, in order: (1) the distributions themselves; (2) a sponsor or later-phase investor buyout at a modeled multiple; (3) sale of the operating business with contracts attached — cash-flowing GPU clusters with contracted capacity are currently acquisition targets for consolidators. What we will not promise is a secondary market that does not exist.

Q16 / WHAT IS THE SPONSOR PUTTING IN, AND TAKING OUT?

In: the site, three buildings, the 3 MVA transformer, 30 acres, the 60-month fiber contract, z1Power hardware at manufacturer cost, personal operating time, and a founder's salary that is not in the budget. Out: the sponsor share of distributions per the final structure, disclosed in the term sheet before you commit. No management fees, no acquisition fees, no markup on z1Power equipment. If the project takes on senior debt, expect the lender to require a personal guarantee from the sponsor — ask to see it.

Q17 / WHAT IF THE BUILD RUNS OVER THE $587,571 CONTINGENCY?

The overrun categories that kill data-center builds — land, interconnection, core-and-shell — do not exist here because the assets exist. Residual overrun risk is concentrated in HVAC and electrical, which is exactly why fixed-price contractor bids are a Gate-0 condition, and why rural Bryan County contractor availability is flagged as a risk rather than assumed away. A second live item: NVMe pricing. NAND contract prices rose 70–75% quarter-on-quarter in Q2 2026 and every manufacturer's 2026 output is presold, so the $120,000 storage line is right-sized but perishable and locks at order.

[SECTION 05 · THE HARD ONES]

Q18 / ISN'T THIS ENTIRELY DEPENDENT ON ONE PERSON?

Year 1, substantially yes — that is true of every founder-operated project and we will not pretend otherwise. Mitigations: three salaried engineers run daily operations independently of the sponsor; contracts, fiber, and site sit in the project entity rather than a person; key-man insurance is priced into the $40,000 insurance line; and runbook documentation is a funded deliverable of the first 90 days.

Q19 / WHY RAISE OUTSIDE MONEY AT ALL IF THE RETURNS ARE THIS GOOD?

Speed and concentration. The sponsor's capital is already in the site, z1Power inventory, and the operating commitment. Financing $4,504,711 of build personally means either borrowing against the batteries business or delaying two years while B200 economics decay. Outside equity plus senior debt buys the compute now, while rates are still contractible near $4.50. The honest counterpoint an investor should weigh: leverage is cheaper than equity precisely because the lender gets paid first.

Q20 / WHAT KILLS THIS DEAL? GIVE ME THE BEAR CASE STRAIGHT.

Four things, in order of danger. **(1) The reserved rate never lands.** 48 GPUs are modeled at $4.50 and none are contracted yet; if that capacity clears only at marketplace rates, revenue compresses toward the conservative case. **(2) Leverage meets that shortfall.** Debt service is fixed; DSCR is 2.60× at a 7-year term but 2.00× at five, and equity distributions are subordinate. **(3) Rate collapse at renewal** beyond the modeled 10%/yr decay. **(4) A build failure that outruns contingency** — concentrated in HVAC and electrical, the two items still open. What does not kill it: a single channel underperforming, a single server failure, one bad negotiation, or fiber slipping a month. Each is absorbed by design. You are pricing the probability of (1)–(4) — that is the actual bet.

[VERIFY, DON'T TRUST]

Everything above is checkable: the itemized build blueprint with its audit log, the verified demand-channel workbook with per-provider sources, the signed Dobson quote, land title, the transformer nameplate, z1Power cost invoices, and the live model workbook. The data room exists so you never have to take our word for a number.

[STILL HAVE A QUESTION?]

Ask it before you commit — an investor who stress-tests this deal is doing us a favour. Questions we cannot answer well are questions we have not de-risked yet, and we would rather find them now than in Year 2. The two open engineering items in this document were found exactly that way.